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1.6 Control, Policy and Delegated-Authority Inventory

Every control in the lending process, its source, and its candidacy for change

Deliverable	1.6 Control, policy and delegated-authority inventory
Version	0.6 – controls identified from 1.2 maps and RFP; source classification hypothesised; policy references, DA matrix and classification confirmed at WS-13 (Week 6) → v1.0
Source	1.2 control index (C0–C23); RFP; DR-07 credit policy, DA matrix and procedures [pending]; WS-13
Owner	WS2 Credit Policy, DA & Controls (Credit Risk and Controls Specialist)
Accepted by	Head of Credit Risk Policy; reviewed by second-line Risk
Tests	Hypotheses E1 (share of controls with no policy source), E2 (DA check automatable), E3 (second-line acceptance of equivalence)

1. Purpose and why it matters more than the maps

In a bank, a process step survives a redesign only if the control it serves survives. The maps say what is done; this inventory says **why it is done, who requires it, and what would have to be true for it to be done differently**. It is the document the Design Authority and second line use in Phase 2 to approve or refuse each change, through the control equivalence register (2.5). A step with no entry here cannot be eliminated or automated in the to-be design.

Classification

Source class	Definition	Can the project change it?
REG Regulatory	Required by regulation or regulatory reporting (e.g. forbearance assessment; data feeding returns)	No. Can change how it is performed and evidenced, not whether
POL Credit policy	Required by the Bank's credit policy or delegated-authority matrix	Performance and evidence can change; the requirement changes only through Credit Risk Policy governance (out of scope)
AUD Audit / second line	Introduced in response to an audit finding or second-line requirement	With second-line agreement, if equivalence shown
PRC Practice	No documented source; performed because it has always been performed	Yes, with Design Authority approval
SYS System limitation	Exists because BLP cannot do otherwise (manual check of data the system holds)	Yes; usually becomes automated in the to-be

Fields

Ref · Control objective · L2 process · Where performed (maps, step) · Performer · Manual / automated · Evidence produced · Source class (H = hypothesised, pending WS-13) · Policy / procedure reference [DR-07] · Frequency · Known failure mode · Automation candidacy · Equivalence consideration for Phase 2.

2. Control inventory

Ref	Control objective	L2	Where (map · step)	Performer	Mode	Evidence produced	Source (H)	Policy ref	Known / likely failure mode	Auto-mation	Equivalence consideration (Phase 2)
C0	Only viable enquiries progress to a deal	1.1	NM-1 D3; SL-1 D3	RM	Manual	None recorded	PRC	[DR-07]	Inconsistent screening; no decline reason; good leads lost or poor leads consume analysis	Partial	Replace with documented pre-screen criteria and a recorded outcome with reason code. Strengthens, does not weaken
C1	Correct customer and all parties identified before any deal activity	1.3	All *-1 maps S3; VA-1 S5	RM / SBS	Part auto	CIF match in BLP	POL / REG (KYC)	[DR-07]	Duplicate customer records; parties missed (partnerships, Ltd)	Yes	Retain. Automate party pull-through from CIF; add party-completeness check
C2	Credit submission contains the required analysis (ECRS, lending category, debt servicing, memo, external checks)	2.1	*-2 R3; CR-2 R3; CS-2 B3	RM / SBS	Manual	Credit memo; classifications in BLP	POL	[DR-07]	"If required" applied inconsistently on RN/VA; external checks performed off-platform and not evidenced	Partial	Retain the requirement; make the required-items list a rule by deal type and risk band (fewer items for low-risk renewal is already practice via EPR). External checks via integration
C3	Deal is complete and internally consistent before submission	2.2	*-2 R4; CR-2 R4; CS-2 B5; SR-1/SD-1 R4	RM / SBS	Manual	Validation step passed in BLP	SYS / PRC	—	Deferrals for missing information (C1 hypothesis) indicate validation does not catch what Credit needs	Yes	Replace with system validation rules (mandatory fields by deal type) at creation; expected to reduce deferral loop
C4	Facility documents match proposed terms	2.2	*-2 R5; SR-1/SD-1 R5	RM	Manual	Checked flag	PRC / AUD	[DR-07]	Off-platform letters (SL, SD) cannot be checked against system terms	Yes	If letters are generated from approved terms (L4), the check becomes a system reconciliation; residual manual check for non-standard clauses
C5	Deal approved only by an authority holder with sufficient delegated authority	2.3	*-2 D2; SR-1/SD-1 D1	RM / line authority	Manual	Approval recorded with authority level	POL	[DR-07 DA matrix]	Manual determination against a matrix; breach risk; inconsistency by segment (H-E2)	**Yes**	Retain the control; automate the determination from limit, exposure, grade and matrix held in system. Equivalence: system check is stronger than manual. Key enabler of L1/L3
C6	Independent assessment of deals outside delegated authority	2.4	*-2 K1; CR-2 K1; EX-02 K2; EX-03 K1	Credit	Manual	Credit decision and rationale	POL	[DR-07]	Queue time; same assessor on resubmission unknown; low-risk renewals consume assessor time	No	Retain. Scope changes if routing (L1) moves low-risk renewals within DA: the control still applies to everything outside DA. Not an equivalence question; a routing question for Credit Risk

C7	Financial distress identified and referred	2.4 / 5.2	*-2 D3; EX-04 K1	Credit	Manual	Referral raised	POL	[DR-07 CAP policy]	Screen sits after full assessment; existing customers only; depends on assessor judgement	Partial	Retain; move earlier. Add system early-warning flags (arrears, grade migration, covenant breach, forbearance) at deal creation so distress is surfaced before analysis effort (L10)
C8	Returned facility letter matches issued letter and is validly executed	3.1	*-3 R4; RN-3 R2	RM / Bus Ops / Corp Assoc	Manual	FAL marked complete	POL / AUD	[DR-07]	Three different checkers by segment; no sent/returned tracking so unreturned letters found late	Partial	Retain execution check; with e-signature the identity and completeness checks are system-evidenced; residual check on wet-ink exceptions
C9	All conditions precedent satisfied before fulfilment	3.3	*-3 S4	RM	Manual	“Pre-conditions met” flag	POL	[DR-07]	Single flag; no itemised evidence; no view of outstanding items	Yes	Retain; replace flag with itemised CP checklist generated from approval conditions, each evidenced. Strengthens
C10	Security perfected (or released) before facility is fulfilled (or removed)	3.2 / 4.4	*-3 S5; RF-2 S2, Q1; EX-05 G4	Lending Services / Securities	Manual	Security complete flag in BLP	POL / REG	[DR-07]	RF-2 shows system release before physical release; shared security re-allocation TBC	Partial	Retain. Sequence to be corrected in to-be (physical before system). Registration evidence attached, not just a flag
C11	Facility set up on product systems matches approved and documented terms	3.4	*-3 F1; RF-2 F1	Fulfilment	Manual	Fulfilment confirmation	POL / AUD	[DR-07]	Re-keying from BLP to IMPACS/product systems; message-based hand-off	Yes	Retain; with integration the terms flow from approved deal; residual four-eyes on exceptions. Replacement Programme scope
C12	Facility removed only after outstanding balance repaid	4.4	RF-2 R4	RM	Manual	Repayment confirmed	POL	[DR-07]	Relies on RM confirming balance from another system	Yes	Retain; system check of balance = 0 before removal is permitted
C13	Credit authority decides whether a CAP referral proceeds to SBS	5.2	CR-2 D1	Credit	Manual	Decision recorded	POL	[DR-07 CAP policy]	Sequential with C14; elapsed time unknown	No	Retain unless Credit Risk Policy agrees SBS can accept directly for defined triggers. Policy question, not equivalence
C14	SBS categorisation decision	5.3	CR-2 B1, D2; EX-04 B1	SBS	Manual	Categorisation, cause, members	POL	[DR-07 CAP policy]	—	No	Retain
C15	Forbearance assessed and recorded for categorised connections	5.3	CR-2 S7	SBS	Manual	Forbearance assessment in BLP	**REG**	[DR-07; DR-10]	Batch job updates forbearance status: control partly automated outside the workflow	Partial	Retain; protected data (0.7 DR-10). Batch update to become native status logic
C16	Strategy documented before recovery actions	5.3	CS-2 B4, S2	SBS	Manual	Memo attached	POL	[DR-07]	Memo produced off-platform, attached later	Partial	Retain; produce on-platform from a template so content is structured and reportable

C17	ERV, provisions and write-offs recorded accurately	5.3	CS-2 S4	SBS	Manual	Fields in BLP	**REG**	[DR-10]	Feeds impairment and regulatory reporting; data quality unknown	Partial	Retain; protected fields; validation rules on entry
C18	CAP Strategy approved by SBS authority	5.3	CS-2 B6	SBS	Manual	Approval recorded	POL	[DR-07 DA matrix]	Threshold for escalation unknown	Partial	Retain; authority determination automated as per C5
C19	Reallocation / tranche does not exceed pre-approved limit	4.3	SR-1 S8; SD-1 S8	RM	Manual arithmetic	Reduced shadow limit product; tranche status	SYS	—	Manual reduction may be missed → double-counted headroom	**Yes**	Replace with system enforcement (sum of allocations ≤ limit). Stronger than as-is
C20	Customer informed of decline with required information	2.5	EX-01 R2	RM	Manual	Unknown	REG / POL	[DR-07]	Not mapped; evidence of communication unknown	Partial	Retain; templated communication with recorded reason code
C21	Appeal reviewed independently of original decision-maker	2.5	EX-01 K1	Credit	Manual	Unknown	POL	[DR-07]	Not mapped; existence of formal appeal route to confirm	No	Retain if exists; define if not
C22	Post-approval changes assessed for materiality before proceeding	2.6	EX-03 D1	RM	Manual	None	PRC	—	No criteria; everything re-processed, or nothing	Partial	Define materiality rules (which fields trigger re-approval); system enforces. New control replacing an undefined practice
C23	Security documentation reflects approved terms	3.2	EX-05 G2	Lending Services	Manual	Documents on file	POL	[DR-07]	Not mapped; instruction channel unknown	Partial	Retain; instruction generated from approved deal so terms cannot diverge
C24	Deals not progressed within 90 days are re-originated (stale approvals not acted on)	E2.1	Batch job	Batch	Auto	Status change	POL / PRC	[DR-07; DR-09]	Applied in bulk, outside workflow; which types affected unknown	Native	Retain intent; implement as workflow timer with RM notification before expiry
C25	Waiver expiry enforced	5.1	Batch job	Batch	Auto	Waiver status	POL	[DR-07; DR-09]	As C24	Native	Retain; native covenant/waiver logic with RM task
C26	Officer-code integrity on reassignment	E2.3	Batch job; CR-2 S8	Batch / SBS	Auto / manual	Officer code	SYS	—	Mass reassignment outside audit trail of the deal	Native	Native ownership transfer with audit trail
C27	Corporate deals visible only to authorised users (insider information)	E2.3	BLP restricted views	System	Auto	Access log	**REG**	[DR-07; Compliance]	—	Native	Retain; requirement DD-10 to Replacement Programme

Source (H): hypothesised classification pending WS-13 and DR-07. C24–C27 are controls not badged on the maps (embodied in batch jobs and system configuration) added for completeness.

3. Delegated-authority inventory

The delegated-authority matrix itself is Bank policy (DR-07). This section records how authority is *applied* in the process, which is what the project can change. The matrix content is reproduced here only once received, and is not altered by the project.

Item	As-is (from maps and RFP)	To confirm (WS-13 / DR-07)	Design relevance
Authority levels	RM / line authority; Credit; "DCA 5" referenced for Shadow Limit Reallocation; SBS authority for CAP Strategy; PDQ/CDQ stages referenced	Full level structure; limits by level; whether levels differ by segment or product	Rules table for automated determination (C5)
Determination	Manual at *-2 D2 by the RM	What inputs are used (limit, total exposure, grade, product, connection); where they are held	H-E2: if all inputs are in BLP, determination is automatable
Renewal within authority	Not distinguished; renewal follows the same path as new money	Whether policy already permits renewal of unchanged facilities within RM/line authority, and under what conditions	Determines whether fast-track (L1) is a policy change or a process change. Critical question for Phase 2
Pre-approved facilities	SR/SD: "Credit only on material change"; skips CDQ to PDQ	Written definition of material change	Model for P4 rules; possible template for P2 fast-track
EPR	Max 3 months; max 3 consecutive then mandatory Credit	Policy source; whether EPR approvals are within RM authority	Rule for P2
CAP referral authority	Credit decides referral proceeds; SBS decides categorisation	Whether defined triggers permit direct SBS acceptance	P5 cycle time (L10)
Authority evidence	Approval recorded in BLP with approver	Whether authority level is captured, and whether breaches are reported	KPI for O3; protected MI field

3.1 Policy and procedure document register (populated from DR-07)

Document	Owner	Version / date	Controls it sources	Received
Business Lending Credit Policy	Credit Risk Policy	[DR-07]	C2, C5, C6, C7, C9, C12	W3
Delegated Authority Matrix	Credit Risk Policy	[DR-07]	C5, C18	W3
Categorised Asset Policy (CAP)	SBS / Credit Risk Policy	[DR-07]	C7, C13, C14, C15	W3
Facility documentation procedure	Lending Operations	[DR-07]	C4, C8, C9	W3
Security procedures	Lending Services	[DR-07]	C10, C23	W3
Fulfilment procedures	Fulfilment	[DR-07]	C11	W3
Decline and appeals procedure (if exists)	Lending Operations	[DR-07]	C20, C21	W3
Audit findings register (open, lending)	Internal Audit	[request]	AUD-class controls	W4

4. Summary and hypothesis read-out (pre-validation)

Measure	Count	Note
Controls inventoried	28	C0–C27; 24 from maps, 4 from batch jobs and system configuration
Hypothesised REG	4	C15, C17, C27 firm; C1 (KYC) and C20 partly
Hypothesised POL	16	Including those shared with AUD / REG
Hypothesised PRC or SYS only	6	C0, C3, C19, C22, C26 and C4 (partly) — **H-E1 threshold is ≥ 20%; 6 of 28 = 21%**, marginally supported pending WS-13
Performed manually today	24	All except C24–C27
Automation candidates (Yes)	9	C1, C3, C4, C5, C9, C11, C12, C19 plus C24–C26 as native workflow
Controls that strengthen under automation	6	C0, C3, C5, C9, C19, C22: the as-is is weaker than the proposed to-be. These are the easy equivalence cases
Controls that are scope/routing questions, not equivalence	3	C6, C13, C7 timing: require Credit Risk Policy decision, not second-line sign-off

What this means for Phase 2

- **The fast-track question is a policy-application question.** Whether low-risk renewals can be approved within RM/line authority depends on what the DA matrix already allows (section 3, row 3). If it already allows it, L1 is a process change and the equivalence case is C5 automation. If not, L1 needs Credit Risk Policy to extend authority, which is a policy decision outside this project's remit and must be raised at G1.
- **No regulatory control is removed in any lever.** C15, C17, C27 are retained and protected; the levers change how they are performed.
- **Six controls get stronger.** The equivalence register should lead with these; they establish credibility with second line before the harder cases.
- **The deferral loop is a C3 failure.** If validation caught what Credit needs, fewer deals would defer. System validation rules are the equivalence for a manual check that does not work.

WS-13 agenda (Week 6, 2 h, Credit Risk Policy, second line, Lending Ops)

1. Confirm or correct source class for each of C0–C27 against DR-07
2. Attach policy clause references
3. Agree the DA application facts in section 3
4. Agree the second line's acceptance criteria for equivalence (feeds E3 and the Phase 2 register format)
5. Identify any control performed today that is not on the maps